

PNC's \$108M Construction Loan Shows Bank Appetite for Florida Multifamily Is Alive, but Narrow

The deal reveals that bank construction lending is returning only for top sponsors in supply-constrained markets.

Inside the \$107.8 million financing

\$107.8 million

Debt / financing

\$30 million

Key figure

\$69,400

Key figure

It is the lender

The most important number in Kolter and Rockpoint's \$107.8 million construction loan is not the loan amount. It is the lender. PNC Bank is providing the debt for the Sutton, a 432-unit garden-style project in Palm Beach Gardens. That matters because bank construction lending has been the tightest channel in commercial real estate finance since the regional banking crisis of 2023.

The deal reveals that bank appetite for construction debt has not vanished

Most banks are still shrinking their CRE exposure, not adding new construction commitments. PNC is writing a check. The deal reveals that bank appetite for construction debt has not vanished. It has concentrated around a narrow set of conditions: a supply-constrained submarket, a credible sponsor pair, and a basis that leaves room for error.

Kolter Group and Rockpoint paid \$30 million for the 17.6-acre site

Kolter Group and Rockpoint paid \$30 million for the 17.6-acre site, which formerly housed the Hilltop Gardens Mobile Home Park. That land basis works out to roughly \$69,400 per unit before hard and soft costs. In Palm Beach Gardens, where new multifamily supply is limited by geography and zoning, that entry point gives the project a structural advantage over competitors who bought land at the peak of the cycle.

PNC is providing construction financing

The capital stack tells a clear story about risk allocation. PNC is providing construction financing, which means it is taking pre-lease risk, completion risk, and interest rate exposure during the build phase. The bank is not financing a stabilized asset with an existing income stream.

That PNC is willing to take

It is underwriting the sponsors' ability to deliver a project on time and on budget, and then lease it into a market that has absorbed new supply unevenly. That PNC is willing to take that risk says less about the bank's view on Florida multifamily broadly than about its view on this specific sponsor combination. Rockpoint is a seasoned institutional investor with a track record in South Florida.

Kolter is a local developer with deep market knowledge and a pipeline

Kolter is a local developer with deep market knowledge and a pipeline that includes a \$92 million construction loan closed just last month for a Live Local Act project in Delray Beach. The bank is betting on execution capability, not market momentum. The timing is also instructive. Construction is expected to complete in 2028.

That means the sponsors are underwriting a delivery date three years out, when

That means the sponsors are underwriting a delivery date three years out, when the interest rate environment and rental demand could look very different. By locking in construction financing now, they are buying time and certainty. They are also signaling that they believe the current cost of capital is acceptable relative to the projected returns. Who benefits from this deal?

First, the sponsors, who now have the capital to execute a project

First, the sponsors, who now have the capital to execute a project that would have been difficult to finance 18 months ago. Second, PNC, which is deploying capital into a relationship with two sponsors that have multiple active projects and likely cross-sell opportunities. Third, the Palm Beach Gardens submarket, which will add 432 units of new-vintage product in a supply-constrained area. Who is exposed?

The deal is not proof that bank construction lending is back to normal

Any developer trying to finance a similar project without a top-tier sponsor pair or a defensible land basis. The market is bifurcating: capital is available for the right team in the right location, but it remains scarce for everyone else. The deal is not proof that bank construction lending is back to normal. It is proof that the window has cracked open for a specific profile of borrower and asset.

The next test will be whether other banks follow PNC's lead, or whether this remains

The next test will be whether other banks follow PNC's lead, or whether this remains an exception that proves the rule of tight construction credit. For now, the signal is clear: bank capital is available, but only for sponsors who can show they have done this before, in a market that can absorb the product, on a basis that does not require perfection.

Why it matters

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LIGHT TOWER GROUP
